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Chapter 6

Drinks US Bonded Inventory

Overview



Introduction

Drinks Bonded Inventory Management provides the wine and spirit distribution industry in the United States, with an efficient method of controlling stocks in a duty free environment.

One of the key benefits of Drinks Bonded Inventory Management is the linking of distribution functions with Duty reporting requirements.

In line with other modules, users may define more than one operating company, but more importantly, users may define any number of Bonded Stockrooms.

Relationships with Other Modules

Drinks Bonded Inventory Management makes use of primary data held in the Drinks Inventory Management and Drinks Sales Order Processing modules.

It is within Drinks Inventory Management that details of items are held, including gallons per case and bottles per case.

Drinks Inventory Management also contains a database of codes and descriptions used to hold such details as country of origin, ports of entry, goods category (E.g.: Wine, Gin, etc.). This description database is used to validate data entry and ensure consistency in the data recorded.

The status of Warehouse/Stockroom codes - Duty Free (Bonded) or Duty Paid are defined within Drinks Sales Order Processing . Similarly, the status of customers (Export, Duty Paid, etc.) are defined within Drinks Sales Order Processing.

System 21 Production Applications recognise Bonded Stockrooms for Production Receipts only. If you are using the System 21 Production Applications in conjunction with Drinks Bonded Inventory Management, Bonded Stockrooms should not be defined as:

- Issuing stockroom on Production Routes or Production Orders.
- Issuing stockroom on any Transaction Booking in Production.
- Shop Floor stockrooms.

All Item/Stockroom Details must be defined using the Drinks Item/Stockroom Details Maintenance. In particular, all shop floor component stockroom balance must be defined in the Drinks Application before use in Production.

All Item master details must be defined using the Drinks Applications. The Production item master, 'based on' facility can only be used after the Inventory Item Master has been defined in the Drinks Application.

Maintenance

Company Profile

As with all the modules, Drinks US Bonded Inventory may be used by a number of companies, each with differing requirements. A profile of each company using the system is maintained, detailing such things as the name of the company and certain processing options.

Bond / Stockroom Profile

Customs and BATF Bonds, throughout the United States may be defined within Drinks Bonded Inventory Management. Export and other Duty Free locations may also be defined to the system in order to ensure that the supply of goods causes the production of the appropriate dispatch documents and the relevant US tax liability.

It is possible to operate Duty Paid and Duty Free stockrooms within the same company. Provision is also made for controlling broken cases by defining bottle stockrooms within a Bond.

To maintain independence from other module time periods, each Bond has its own calendar, which holds critical dates relevant to the production of Duty reports and the triggering of period end processing.

There is no significant restriction to the number of stockrooms defined within Drinks Warehousing and Drinks Inventory Management modules all within the same Bond.



Note: Drinks US Bonded Inventory is not currently supported with Drinks Warehousing.

Reference Data

The following Customs and Excise reference data is defined within the Drinks US Bonded Inventory module:

- Commodity Codes/Tax Types.
- Preferential Duty Rates.
- Preferential Groups.
- Quota Duty Rates.
- Item Variants/Customer Items.
- Rotation Details.

The above define the tax rules and values necessary for the calculation of Customs and BATF Excise duties.

Each item defined within Drinks Inventory Management is also defined within Drinks Bonded Inventory Management in order to specify the associated tax codes, duty status, spirit strength (where relevant) and country of origin.

Identical products sourced from different countries, or with varying spirit strengths, may be assigned the same item number. Each variant of the same item may be given unique tax codes/strengths as appropriate.

Processing

The main transaction types recognized for Excise reporting are:

- Goods Receiving.
- Dispatch.
- Stock Losses (write-offs).
- Stock Gains.
- Stock Counting.
- Payment of Customs Duty within Bond.

The goods receiving processes are performed within either Drinks Inventory Management or Drinks Purchase Management. These processes have been enhanced to accommodate the logging of additional data when receiving goods into a Bond.

Similarly, the dispatch processes performed within the Drinks Sales Order Processing module have been enhanced to accommodate the production of clean dispatch notes and where applicable, the necessary duty free documentation.

Recording losses and gains are provided by Drinks US Bonded Inventory, and in the case of stock losses, payment or non-payment of duty is determined by the transaction reference selected.

Payment of Customs Duty within Bond, otherwise known as Marking Goods In Free Circulation, is performed within Drinks US Bonded Inventory.

Stock Counting within Drinks US Bonded Inventory Management provides for the production of count documents, sorted by location or by rotation. After recording physical stocks, a variance report is available listing items in the sequence specified.



Note: Inventory Stock Counting provides an alternative procedure to Bond Stock Counting as Bond is included in this function. Inventory Stock Counting is the recommended function for stock counting.

Inquiries

Drinks Warehousing and Drinks Inventory Management provide the main source of information for inquiring on stock status, by item and by location.

The Drinks US Bonded Inventory module provides for additional inquiries, as follows:

- Rotation.
- Consolidated Audit.
- Item Variant.

The Rotation Inquiry accesses the original consignment details and Customs and BATF references as well as the Drinks US Bonded Inventory transaction movement log.

All key reference data updates are logged and reported. In addition, it is possible to inquire on these updates.

The item variant inquiry provides for the identification of a given variant where a number of variants are assigned to the same item.

Reports

Drinks US Bonded Inventory has its own independent logging of transactions where the transactions are relevant to bond movement reporting.

All regular transaction reports are contained within a Daily Duty Run, with each report being consecutively numbered from one day to the next. Reports produced by the Duty Run are:

- Adjustments/Breakages.
- Customer Duty and Duty Free Analysis.
- Movement Audit.
- Report of Dispatches.
- Report of Receipts.
- C88A Backup Report.

In addition, key reference data changes may be reported and Duty Dispatch documents still outstanding for return can be listed.

By numbering each report, the majority of the above reports may be re-printed by quoting the original report number.

A number of other reports are available by request:

- Tax Drawbacks.
- Daily Dispatches.
- Daily Transaction Summary.

Utilities

Drinks US Bonded Inventory contains utility functions which are intended for use at system installation time, or under special circumstances.

These utilities enable ease of software installation, and continued maintenance.

Pre-Requisites

Drinks US Bonded Inventory requires the following to be installed before installing this module.

- Drinks Inventory Management.
- Drinks Sales Order Processing.
- Drinks UK Bond Inventory.

Drinks Purchase Management, the Financial modules, Drinks Telesales, and Drinks Sales Analysis may be included with this module, but are not essential.

Basic Data

The data elements essential to this module are as follows:

- Company profiles for all modules.
- Descriptions.
- Processing Profiles within Drinks Inventory Management.
- Stockrooms / Depots in Drinks Inventory Management and Drinks Sales Order Processing.
- Items.
- Stockroom Details.

Installing Application Manager PTF's

Application Manager PTF's must be restored and installed as QSECOFR.



Note: To install the Application Manager PTF's the system must be in a minimum state (that is with no users or subsystems / jobs running - this is important)

Use a normal User ID to create the state then sign off and sign on as QSECOFR.

At the first screen, add in library OSLPTP1 (ADDLIB OSLPTP1 *FIRST)

Type in MNGPTF and install the PTF as normal.

Once installed, the library and PTF object can only be removed by QSECOFR. Install this PTF then sign off and sign back in as PTFOwner for subsequent PTF's.

If the above is NOT done, PTFOwner, being inside Application manager, will say the AM PTF is installed when it has not, as PTFOwner is using one of the objects the PTF requires, and the system will work - but will NOT have been updated.